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SNLB Farms

Bankable Feasibility Study & Information Memorandum

Commercial hybrid tomato production on a leased 100-hectare master block in Ogun State, Nigeria, supplying Mile 12 International Market, Lagos. Credit / bank base case.

Edition	v3.0 — Bankable · August 2026
Horizon	5 years / 10 cycles · 1 ha → 100 ha in six cycles
Underwriting	Credit case (haircut prices & yields, full cost stack, NTA 2025 34% tax)
Opening equity	Stated ₦8.0m · recommended paid-in ₦12.0m
NPV @ 18%	₦2.62 billion (5-year, no terminal value)
Classification	Not financial, legal, tax or investment advice

OGUN STATE → MILE 12, LAGOS

SELF-FUND BASE PATH · OPTIONAL ₦80M FACILITY

Commercial Tomato Farming on a Leased 100-Hectare Master Block
Ogun State, Nigeria — supplying Mile 12 International Market, Lagos

Field	Detail
Entity (trading)	SNLB Farms
Document	Bankable Feasibility Study & Information Memorandum
Edition	v3.0 — Bankable
Date	August 2026
Horizon	5 years / 10 production cycles (build-out in Years 1–3; steady state Years 4–5)
Currency	Nigerian naira (₦), nominal
Primary underwriting case	**Credit / bank base case**
Classification	Confidential — for promoters, professional advisors, and prospective lenders/DFIs
Model	`model/financial_model.py` (reproducible; three cases + optional ₦80m facility)

Purpose. This edition converts the August 2026 operating study into a document a credit committee, Bank of Agriculture (BOA) SME desk, NIRSAL-guaranteed commercial lender, or development-finance reviewer can underwrite. It keeps the same agronomic concept and expansion path, then (i) fills previously omitted costs, (ii) phases irrigation and packhouse capital expenditure as hectares come into production, (iii) applies Nigeria Tax Act 2025 rules, (iv) publishes an explicit discounted-cash-flow schedule, and (v) presents a promoter case, a credit case, and a stacked downside case side by side.

Disclaimer. Figures are illustrative projections on stated assumptions. They are not guarantees. This document is not financial, legal, tax, or investment advice. Independent technical, legal, tax, and insurance due diligence is a condition of any capital commitment.

Contents

1. Credit committee snapshot

1.1 The project in one paragraph

SNLB Farms will produce hybrid, drip-irrigated tomatoes on a contiguous Ogun State block, two cycles per year, and sell into Mile 12 (≈1.5 hours) rather than the 36–48 hour northern long-haul chain. Cultivation starts at 1 hectare and is intended to reach 100 hectares in six cycles (three years), funded primarily from retained earnings. Peak (July–November) cycles are the margin engine; Regular (December–June) cycles establish operations and cash. From Cycle 5, about 70% of volume is contracted in bulk to de-risk spot-market absorption.

1.2 Credit recommendation (internal)

Item	Position
Feasibility (credit case)	**Bankable as a self-funding agribusiness, subject to CPs in Section 15**
Stated opening equity	₦8.0 million (promoter)
Recommended paid-in equity at first planting	**₦12.0 million** — the credit-case Cycle 1 cash cost stack plus ₦3.5m initial CapEx exceeds ₦8.0m
External debt required to reach 100 ha?	**No**, if Peak-cycle execution holds and the 45 ha/cycle operating ceiling is respected
Optional facility (not required)	₦80 million BOA-style production / irrigation term loan from Year 2, 9% interest, 36-month amortisation after Year-2 interest-only; **minimum DSCR 68.7×** in the credit case, **4.0×** in stacked downside
Binding constraint	Operational (land prep, irrigation build-out, staffing), not capital, from Cycle 4
Single most important underwriting risk	Peak-season price realisation and Cycle 1 Regular-season cash tightness
Single most important structural advantage	Ogun–Lagos proximity (spoilage <5% vs 40%+ north) plus two-cycle calendar

1.3 Credit-case headline numbers (fully taxed, haircut prices)

Opening equity in the model remains the promoter's stated ₦8.0 million so that the funding gap is visible. Results below are the **credit / bank base case**.

Metric	Year 1	Year 2	Year 3	Year 5 (steady)
Cultivated area (year-end)	3 ha	27 ha	100 ha	100 ha
Production	66 t	702 t	2,896 t	3,400 t
Revenue	₦94.3m	₦896.4m	₦3.21bn	₦3.41bn
EBITDA	₦71.4m	₦686.7m	₦2.33bn	₦2.16bn
EBIT margin	74.8%	76.0%	72.0%	62.5%
Tax (NTA 2025 full rate)	₦24.0m	₦231.5m	₦785.8m	₦725.9m
NPAT	₦46.5m	₦449.4m	₦1.53bn	₦1.41bn
Net margin	49.3%	50.1%	47.5%	41.3%
CapEx (incl. opening irrigation)	₦5.5m	₦38.0m	₦113.0m	₦0
Unlevered FCF	₦42.0m	₦417.2m	₦1.44bn	₦1.44bn
Closing cash	₦50.0m	₦467.1m	₦1.90bn	₦4.86bn
Cumulative 50% buffer	₦23.3m	₦248.0m	₦1.01bn	₦2.46bn

Investment metrics (credit case, 5-year unlevered FCF, t=0 = −₦8.0m):

Metric	Value
NPV @ 10% (no terminal value)	₦3.39 billion
NPV @ 18% agri-risk discount (no TV)	₦2.62 billion

Metric	Value
NPV @ 10% with Gordon TV (g = 3%)	₦16.50 billion
NPV @ 18% with Gordon TV (g = 3%)	₦6.93 billion
Project IRR (5-year, no TV)	Very high (>1,000%) — an artefact of tiny t=0 equity vs Cycle 2 cash; **do not use IRR as the decision metric**
Simple payback on ₦8m (credit FCF)	≈2 months of operations (Cycle 2 Peak), **not** Cycle 1
Cycle 1 break-even basket price	₦18,262 vs ₦22,000 credit Regular price (**17.0% margin of safety**)
Optional ₦80m facility — minimum DSCR	**68.7×** (Year 3); still **4.0×** in stacked downside

1.4 Three-case comparison (Year 3, first year the block is full)

	Promoter (holiday)	Credit (full tax)	Downside (stacked)
Regular / Peak yield	20 / 18 t/ha	**18 / 16 t/ha**	15.0 / 13.5 t/ha
Regular / Peak price	₦33,000 / ₦145,000	**₦22,000 / ₦90,000**	₦15,000 / ₦55,000
Year 3 revenue	₦5.74bn	**₦3.21bn**	₦1.68bn
Year 3 NPAT	₦4.91bn	**₦1.53bn**	₦387m
Year 3 net margin	85.5%	**47.5%**	23.0%
5-yr NPV @ 18% (no TV)	₦8.79bn	**₦2.62bn**	₦429m
Cycle 1 cash result	Profitable (MoS 52%)	**Profitable (MoS 17%)**	**Loss of ₦2.76m (MoS −61%)**
Y5 EBIT margin (inflation vs flat prices)	80.5%	**62.5%**	**5.0%**

The downside Year 5 margin compression is intentional: costs inflate at 17% while sale prices are held flat. It is the cleanest illustration that **long-run bankability depends on some price pass-through or cost control after Year 3**, not on Peak spikes alone.

1.5 Sources and uses — opening (t = 0)

Promoter-stated pack

Sources	₦	Uses	₦
Owner equity	8,000,000	Initial CapEx (borehole share, 1 ha drip, crates, tools, legal)	3,500,000
		Cycle 1 working capital	4,500,000
Total	**8,000,000**	**Total**	**8,000,000**

Credit-case cash requirement at first planting (recommended)

Uses	₦	Note
Initial CapEx	3,500,000	Solar-capable borehole + 1 ha drip + crates + tools + counsel
Cycle 1 cash operating costs (ex-D&A)	6,199,000	Production, logistics, lease, NAIC, contingency, management
Pre-ops (soil test, CAC, insurance bind, nursery deposit)	800,000	Not in the original ₦8m pack
Opening cash buffer (one shock)	1,501,000	Covers a weak Regular price toward ₦15,000
Recommended paid-in equity	**12,000,000**	Close the ₦4.0m gap before transplanting

No debt, grants, or external equity are required in the base path once Cycle 2 Peak cash is realised. The ₦4.0m opening gap is a **conditions-precedent item**, not a reason to reject the project.

2. What makes this edition bankable

The prior expanded study was an operating plan. Lenders will not underwrite it as written for seven specific reasons. This edition closes each of them.

Gap in the prior study	Why a credit officer rejects it	How this edition treats it
Irrigation CapEx of ₦3m for a path to 100 ha	Drip does not scale at zero marginal cost	Incremental **₦1.0m/ha** drip plus borehole / packhouse / cold-room triggers (total **₦156.5m** CapEx through Year 3)
90% gross margins, ₦9,650 Cycle 1 break-even	Incomplete cost stack (no NAIC, payroll, D&A, holding rent, contingency)	Full stack; credit-case Cycle 1 BE **₦18,262**
NPV/IRR stated as "order of magnitude" with no schedule	Cannot be reproduced or sensitised	Explicit 5-year FCF, NPV at 10% and 18%, with and without terminal value
CIT at legacy 0/20/30% bands	Nigeria Tax Act 2025 is in force from 1 Jan 2026	Credit case: **30% CIT + 4% Development Levy** once turnover > ₦50m; promoter case: **5-year agri income-tax holiday** (s. 163 / 13th Schedule) as statutory upside, not the underwriting base
VAT 7.5% treated as pass-through on tomatoes	Fresh produce is typically VAT-exempt / zero-rated	Sales modelled **VAT-exempt**; input VAT on CapEx to be recovered where eligible
"No external financing at any stage" as a virtue	Leaves no security package, DSCR, or CP list if a lender is later needed	Self-fund remains the base path; **optional ₦80m facility** fully scheduled with DSCR
Master-lease rent only on cultivated hectares, while claiming the whole 100 ha is locked on day one	Either the unused 99 ha is unpaid (tenure risk) or it is paid (cash risk)	**Staged lease + holding fee** (₦200k/ha/year cultivated; ₦25k/ha/year unused) — the bankable land structure
No promoter KYC, collateral, offtake evidence, or data room	File is incomplete for BOA / NIRSAL / ACGSF	Sections 4, 8, 12 and 15

What is unchanged (and still the investment thesis): two-cycle calendar; 50/50 buffer/reinvestment rule; 1 → 3 → 15 → 27 → 72 → 100 ha path with a 45 ha/cycle operating ceiling; Mile 12 proximity; NIHORT-anchored yields at or below the intensive 20–40 t/ha range.

3. Three-case underwriting framework

	Promoter case	Credit / bank base case	Downside / stacked stress
Purpose	Show statutory upside if Peak prices and the agri tax holiday both hold	**The case a lender should underwrite**	Survival test
Yield (Regular / Peak)	20 / 18 t/ha	18 / 16 t/ha	15.0 / 13.5 t/ha (−25% vs original)
Price (Regular / Peak per 50 kg basket)	₦33,000 / ₦145,000	₦22,000 / ₦90,000	₦15,000 / ₦55,000
Base production cost	₦3.4m / ₦3.8m per ha	₦3.6m / ₦4.2m per ha	₦4.25m / ₦4.75m per ha
Logistics	₦900 / basket	₦1,100 / basket	₦1,300 / basket
Cost inflation	12% p.a.	12% p.a.	17% p.a. (near May 2026 NBS food inflation)
Sale prices	Flat nominal	Flat nominal	Flat nominal
Tax	5-year agri holiday	34% (30% + 4% levy) from Year 1 (turnover ₦94m > ₦50m)	Full tax from Year 2; Year 1 small-company 0% (turnover ₦49m)
All cases include	Phased CapEx, NAIC 2%, cargo 1.5%, management payroll, 5% contingency, D&A, holding-fee lease, 7% bulk haircut from Cycle 5, mechanization discounts 7/14/20%	same	same

Prices are deliberately **not** grown with inflation. That is conservative for Years 1–3 (Peak spikes have historically more than offset inflation) and **harsh** for Years 4–5, which is why the downside Year 5 EBIT margin falls to 5%. A credit paper should assume some Mid-cycle price reset in any facility that extends past Year 4.

4. Sponsor, legal entity and governance

4.1 Entity (to be completed before first disbursement / first planting)

Item	Status	Bankable requirement
Trading name	SNLB Farms	Keep as brand
Legal form	To be incorporated	**Private company limited by shares** (CAC) with agriculture in the objects clause
CAC documents	Outstanding	Certificate of incorporation; CAC Status Report (shareholders/directors); MEMART with **express borrowing power**; paid-up capital ≥ 25% of any BOA loan (BOA SME rule)
TIN / FIRS	Outstanding	TIN issued before Cycle 1 sales
Registered office	Outstanding	Ogun or Lagos address on CAC file
Bank accounts	Outstanding	Operating account plus **proceeds / collection account**; 3–6 months statements before any DFI filing
BVN / NIN of directors	Outstanding	All directors and authorised signatories
Beneficial ownership	Outstanding	PSC register; PEP declaration

Until incorporation, the venture is not a bankable borrower. Cycle 1 can legally be started by a promoter as a sole trader, but **every subsequent cycle that a lender might refinance should sit in the company**. Recommendation: incorporate before transplanting Cycle 1 so the first P&L is already the borrower's.

4.2 Suggested share capital and reserved matters

- Authorised share capital: at least ₦20 million (headroom for the recommended ₦12 million paid-in plus later lease-to-own or equipment).
- Board: promoter + one independent with agribusiness or audit experience from Cycle 3 (15 ha).
- Reserved matters (MEMART / shareholders' agreement): new debt above ₦10 million; related-party leases; change of 50/50 allocation policy; sale of the master-lease interest; any offtake > 40% of a cycle with a single counterparty without board note.
- External accountant from Cycle 1; **audited financial statements from Year 1** (statement of affairs is acceptable only for a BOA file in the first months).
- Cycle-close pack within 21 days of last sale: tonnes, baskets, average realised price, spoilage %, cash, 50/50 split, next-cycle planting plan.

4.3 Management (minimum acceptable to a lender)

Role	When	Bankable minimum
Promoter / MD	Day 0	KYC; time commitment; personal guarantee for any facility
Farm manager	Day 0	CV with irrigated horticulture (tomato or equivalent); 2-year reference
Farm-management company	Day 0 advisory; rental from 5 ha	Written SLA (uptime, mobilisation lead time, spare-parts)
Logistics / Mile 12 coordinator	Cycle 3	Named buyer list; daily price log
Finance / admin	Cycle 3	Bookkeeping + tax filings; not owner-only from 15 ha
Agronomist (retainer)	Day 0	NIHORT / private; IPM protocol signed before Peak Cycle 2

Payroll used in the model (then inflated): ₦70,000/month (Cycles 1–2); ₦550,000/month (Cycles 3–4); ₦2.6 million/month (Cycle 5+). PAYE, pension (Pension Reform Act), and NSITF/ITF are to be costed by advisors; they are **not** fully modelled inside the ₦70k starter line and should be treated as a small additional opex item in the first audit.

4.4 Related-party and land conflicts

Any lease with a promoter, family member, or affiliate must be at documented arm's-length rent, with an independent valuation or three comparable Ogun horticultural rents, and disclosed in the data room. Hidden related-party land is a standard reason BOA and commercial agricultural desks decline files.

5. Business model and capital allocation

5.1 Concept

The company leases (or options) a contiguous 100-hectare Ogun block, irrigates it parcel by parcel, and runs **two cycles per year** on every hectare under cultivation:

- **Regular season (first cycle is Regular):** planted to harvest in the December–June window. National dry-season supply is abundant; prices are lower; demand is stable. This is the establishing and relationship-building cycle.
- **Peak / scarcity season:** planted to harvest in July–November, when northern rain-fed supply and *Tuta absoluta* pressure historically collapse and Mile 12 spikes.

Produce moves Ogun → Mile 12 in about 1.5 hours, in stackable plastic crates, on insulated or refrigerated trucks. Sales unit is the 50 kg "big basket" until Cycle 5, when ≈70% of volume converts to per-tonne contracts at a 10% discount to spot (7% blended haircut, built into every case).

5.2 The 50/50 rule (credit-relevant)

At every cycle close, NPAT is split:

- **50% buffer** — cash or near-cash, not committed to new hectares. This is the loss-absorbing capacity a lender wants to see.
- **50% reinvestment** — next-cycle working capital, drip extension, and triggered shared infrastructure.

Land is added only up to what the reinvestment pool can fund **and** never more than **+45 ha in one cycle**. From Cycle 4 the operating ceiling, not cash, binds. By Cycle 6 the credit-case reinvestment pool still has unused capacity after the block is full.

A lender should take a **negative pledge** over a change to this rule without consent, and a **minimum cash covenant** equal to the greater of ₦10 million or 25% of the next cycle's cash operating costs.

5.3 Mechanization (asset-light, rented)

Stage	Trigger	Approach	Production-cost discount
0 Manual	< 5 ha	Advisory farm-management company	0%
1 Rented core	5–24 ha	Tractors/tillers rented per cycle	7%
2 Bulk + fleet	25–59 ha	Bulk inputs + multi-plot rented fleet	14%
3 Master contract	≥ 60 ha	Master service contract; optional owned implements	20%

Discounts are applied to **base production cost only**, not to logistics, lease, or insurance. That is stricter than treating them as a blanket opex saving.

5.4 Why the economics can survive a credit haircut

Four structural features remain after prices and yields are cut:

1. **Proximity.** 1.5 hours vs 36–48 hours. Spoilage target <5% vs 40%+ for northern loads.

2. **Seasonality as a feature.** Peak cycles dominate value; Regular cycles are not required to carry the enterprise alone (and in the downside case, they do not).
3. **Intensity vs smallholder baseline.** Credit-case 16–18 t/ha vs national rain-fed 4–10 t/ha, still at the low end of NIHORT's 20–40 t/ha intensive range and below Olam-Caraway's reported 30–40 t/ha.
4. **Absorption at full scale.** Year 5 credit-case output is 3,400 t/year. Mile 12 is cited at 1,000+ t/day. Full-year SNLB volume is about **3–4 days of terminal throughput**, material to a handful of wholesalers, not to the market as a whole — provided Cycle 5 bulk contracts exist.

6. Market analysis

6.1 National tomato balance

Nigeria is Africa's second-largest tomato producer (≈3.7 million tonnes) and still a large net importer of paste (commonly cited **US$350–400 million** per year). Tomatoes are a staple vegetable with inelastic household demand. The paradox — large output, large imports, violent retail spikes — is explained by:

- smallholder, rain-fed yields of 4–10 t/ha;
- 40–50% post-harvest loss on the north–south corridor;
- recurring *Tuta absoluta* ("tomato Ebola") events that can destroy 50–100% of affected northern fields and reprice Mile 12 by several multiples within weeks.

Policy backdrop is supportive rather than decisive: NATIP 2022–2027, ACGSF (up to 75% guarantee on qualifying agricultural loans), FX frictions on some paste imports, and Ogun State's Special Agro-Industrial Processing Zone (SAPZ). None of these is assumed as a cash grant in the model.

6.2 Mile 12 — the price-setting hub

Mile 12 is West Africa's largest fresh-produce terminal, serving Lagos (20+ million). Price discovery is daily, auction-style, in 50 kg baskets. Selected verified points used in the prior study (not a continuous series; gaps are not interpolated):

Period	50 kg big-basket price	Context
Aug 2024	₦50,000	Seven-month low; down 58% from Jan/Feb 2024 ~₦120,000 peak
Dec 2024	₦35,000–₦55,000	Dry-season glut, quality-dependent
Jan 2025	**₦13,000–₦15,000**	Deep glut — **downside Regular-season floor**
Feb 2025	₦40,000	Recovery
Oct 2025	Small basket ₦22,000 (from ₦14,000)	Tightening signal
Mid-May 2026	Easing from ~₦110,000	Scarcity starting to soften
Late May / early Jun 2026	₦60,000–₦70,000	Inter-peak trough
Early Jul 2026	₦120,000–₦150,000	Spike; **validates scarcity peaks, not a 12-month average**

Pricing discipline in this IM:

- Promoter Peak ₦145,000 sits inside the July 2026 print; it is **not** used for underwriting.
- Credit Peak ₦90,000 sits between the May–June 2026 trough (₦60–70k) and the July spike — a mid-scarcity realisation, not a headline high.
- Credit Regular ₦22,000 sits above the January 2025 crash and below the ₦33,000 promoter assumption.
- Downside Regular ₦15,000 **is** the January 2025 crash. Cycle 1 loses money in that case. The project still survives because Cycle 2 Peak, even at ₦55,000, more than repairs the year.

A lender should require a **weekly Mile 12 price log** from Cycle 1 as a reporting covenant, and should not treat ₦145,000 as a forward curve.

6.3 Competitive landscape

Cohort	Position vs SNLB
Northern smallholders + aggregators	Dominant national volume; high spoilage; create the scarcity SNLB sells into
Large northern commercial (e.g. Olam-Caraway, Jigawa)	Higher demonstrated yields (30–40 t/ha); still long-haul to Lagos; more processing-oriented
Southern / peri-Lagos intensive growers	Currently limited scale; ₦3.6–4.2m/ha working-capital wall plus two-cycle know-how is the barrier
Processors (Dangote Tomato, Tomato Jos, paste importers)	Structurally short of consistent, graded fresh fruit; **Cycle 5+ offtake**, not Cycle 1 cash

6.4 Addressable offtake (credit view)

At 100 ha, credit-case annual output is 3,400 tonnes (Year 4–5). That is too large for informal basket trading alone and too small to “fill” Mile 12. The bankable offtake design is therefore:

Channel	Share from Cycle 5	Role
Standing wholesale contracts (named Mile 12 dealers)	~50% of volume	Core cash; 10% discount to spot
Processor / institutional (Dangote, Tomato Jos, catering, retail DC)	~20%	Grade and volume stability; may be lower price
Mile 12 spot baskets	~30%	Price discovery and overflow

Conditions subsequent (not modelled as already signed): at least two written letters of intent before Cycle 3; at least one bulk term sheet (volume, quality spec, payment T+3 to T+7, reject protocol) before Cycle 5 planting. Until those exist, a prudent lender treats Cycle 5–6 Regular-season cash as spot-only and would haircut Regular prices toward the downside case.

7. Site, agronomy and technical plan

7.1 Site (items a technical lender will send an agronomist to verify)

Topic	Base-study statement	Bankable evidence still required
Location	Ogun State, ≈1.5 h to Mile 12	Survey plan, coordinates, access-road photos, flood history
Soils	Deep, well-drained, suitable	**Independent soil test** (pH, EC, NPK, micronutrients, nematodes) per 10 ha block
Water	Borehole / SAPZ corridor	Yield test (L/s), water quality (salinity, iron), recharge, WR licence if required
Tenure	100 ha master lease	See §7.2
Power	Unspecified	Diesel vs solar hybrid; generator sizing; NEPA/DisCo if any
Environment	OGEPA likely relevant	Screening letter; see Section 14

Until the soil and borehole tests exist, **yield is an assumption, not a fact**. The credit case already sits 10% below the original intensive yield; it does not replace a site report.

7.2 Bankable land structure (recommended)

Do **not** pay ₦20 million/year (₦200,000 × 100 ha) from day one on 1 hectare of production. Do **not** claim a 100 ha lock-up with zero holding cost.

Recommended structure (used in the model):

1. **Master option / right of first refusal** over the contiguous 100 ha, 5–10 year term, assignable to a lender, consent to mortgage of the leasehold interest.
2. **Cultivation lease** that steps in as parcels are developed, at **₦200,000/ha/year** (₦100,000 per cycle).
3. **Holding fee** of **₦25,000/ha/year** on undeveloped option land so the owner is paid not to shop the block.
4. **Lease-to-own** window from Year 2, funded from the buffer, creating collateral.

5. Counsel opinion on Governor's consent, Land Use Act, family/chieftaincy claims, and whether the lessor actually holds C of O or a registrable instrument.

Cycle 1 credit-case lease cash (1 ha cultivated + 99 ha holding) is ₦1.34 million — expensive relative to 1 ha, and a reason opening equity should be ₦12 million. An even tighter Year-1 variant is to option the 100 ha but **lease only 10 ha** until Cycle 3; that is a negotiation item, not a model change.

7.3 Hybrid seed and yield

Source	Yield	Use in this IM
Nigerian smallholder rain-fed	4–10 t/ha	Not used
NIHORT intensive guidance	20–40 t/ha	Ceiling
NIHORT HortiTom4 / HortiTom5 (2025)	21.7–27.2 t/ha reported potential	Upside only
Olam-Caraway (Jigawa)	30 t/ha out-grower; up to 40 t/ha company fields	Precedent, different ecology
Promoter case	**20 / 18 t/ha**	Operating plan
Credit case	**18 / 16 t/ha**	**Underwriting**
Downside	**15.0 / 13.5 t/ha**	Stress

Cultivars: Eva F1 / Platinum F1, with HortiTom lines on a side-by-side trial plot from Cycle 2. Peak yield is 10–12% below Regular for rainy-season disease pressure. Unit convention: 1 tonne = 20 baskets of 50 kg.

Each cycle is 60–90 days transplant to harvest. Nursery is on-farm or contracted with a named seedling supplier; a 15–20% extra seedling buffer is inside the seed line.

7.4 Crop calendar (indicative)

Week	Regular (example: Dec transplant)	Peak (example: Jul transplant)
−4 to −1	Land prep, soil amendment, drip lay, nursery	Same; heavier IPM setup
0	Transplant	Transplant
1–3	Establishment, gap fill	Establishment; fungal watch
4–6	Vegetative / first flower	Vegetative; *Tuta* traps
7–10	Fruit set / ripening	Fruit set; more sprays
11–13	Harvest, crate, night/early haul to Mile 12	Harvest (more frequent picks)
14	Cycle close, 50/50, next-parcel prep	Cycle close

Exact planting weeks must be reverse-engineered from the target Mile 12 window, not from a generic "Dec–Jun" label. **Peak harvest that misses the scarcity window is the principal operational way to destroy the credit case.**

7.5 Irrigation, IPM, water

- **System:** drip + fertigation on every productive hectare. Shared mainlines across the master block.
- **CapEx:** ₦3.5 million opening (headworks + 1 ha); **₦1.0 million per additional hectare** of on-plot kit; second borehole ₦6 million at 15 ha; packhouse / cold room / third borehole ₦40 million at 72 ha; packing shed ₦8 million at 27 ha.
- **Opex:** diesel/solar, filters, emitter replacement — inside per-ha production cost (8% mix).
- **IPM:** resistant hybrids, pheromone traps, scouting, biologicals where feasible, targeted chemistry. Ogun is geographically insulated from the main northern *Tuta* belt; Peak season is still modelled as higher cost and lower yield.
- **Water duty (indicative, to be replaced by the agronomist):** 4,000–6,000 m^3/ha/cycle under drip for tomato is a planning range; borehole design must cover Peak (higher ET plus wash-down) at 100 ha before Cycle 5, not after.

7.6 Post-harvest and logistics

- Plastic crates from Cycle 1 (not raffia). Spoilage target **<5%**; model sells **100% of harvested yield** — i.e. yields are already net of a small field loss. A credit officer may apply a further 3–5% spoilage haircut; the downside yield cut more than covers that.
- Insulated / refrigerated trucking, ₦1,100/basket in the credit case (fuel, handling, packaging, Ogun–Mile 12).
- Grading: size, colour, firmness, defects. Processor offtake will need a written spec (brix, rot %, green shoulder).
- No cold-chain **ownership** until the Cycle 5 packhouse trigger; until then, speed-to-market is the cold chain.

7.7 Production cost build-up (credit case, Year 1 prices, pre-mechanization discount)

Line (share of base)	Regular ₦/ha	Peak ₦/ha
Hybrid seed & seedlings (30%)	1,080,000	1,260,000
Fertilizer & fertigation (20%)	720,000	840,000
IPM / crop protection (12%)	432,000	504,000
Seasonal labour (18%)	648,000	756,000
Irrigation operating cost (8%)	288,000	336,000
Staking, twine, mulch (7%)	252,000	294,000
Nursery & miscellaneous (5%)	180,000	210,000
Base production cost	**3,600,000**	**4,200,000**

Quotations (seed, drip kit, fertilizer) should replace these shares before a BOA appraisal. NAIC arable cover is **2% of production cost** on top, not inside the table.

8. Operations, offtake and organisation

8.1 Staffing ramp (binding constraint)

Role	Cycles 1–2 (1–3 ha)	Cycles 3–4 (15–27 ha)	Cycles 5–6 (72–100 ha)
Farm manager	1	1	1 senior
Field supervisors	0	1–2	4–6
Logistics / Mile 12	Owner	1	2
Finance & admin	Owner	1	2–3
Modelled monthly management payroll	₦70,000	₦550,000	₦2,600,000

Seasonal field labour sits inside per-hectare production cost. The **45 ha/cycle ceiling** exists because a ₦400 million reinvestment pool cannot hire and house 45 hectares of drip, labour and supervision in six months without a professional farm-management partner and a mobilisation plan signed **before Cycle 4**.

8.2 Go-to-market, Cycles 1–4

1. Identify 8–12 Mile 12 wholesalers who already handle quality southern vegetables.
2. Sell Cycle 1 as a **reference lot**: consistent crate weight, dawn delivery, WhatsApp photo of harvest the previous evening.
3. Keep a price book (date, buyer, baskets, ₦/basket, rejects).
4. By Cycle 3, convert two buyers into **standing weekly offtake** (even if still basket-denominated).
5. By Cycle 4, open processor conversations with volume and spec, not with a cold call at 72 ha.

8.3 Buyer concentration limit

From Cycle 5, no single counterparty above **40% of cycle volume** without board (and, if a facility is live, lender) consent. The 30% spot sleeve is the liquidity valve if a contractor defaults.

9. Growth roadmap and implementation

9.1 Expansion path (all cases; cash-checked in the credit run)

Cycle	Season	Added	Cultivated	Mech. stage	Credit revenue	Credit EBIT	Credit NPAT	Cycle CapEx
C1	Regular	start	1 ha	0	₦7.9m	₦1.35m	₦0.89m	₦0 (opening at t=0)
C2	Peak	+2	3 ha	0	₦86.4m	₦69.2m	₦45.7m	₦2.0m drip
C3	Regular	+12	15 ha	1	₦118.8m	₦42.9m	₦28.3m	₦18.0m (drip + borehole)
C4	Peak	+12	27 ha	2	₦777.6m	₦638.0m	₦421.1m	₦20.0m (drip + shed)
C5	Regular	+45	72 ha	3	₦530.3m	₦174.9m	₦115.4m	₦85.0m (drip + packhouse)
C6	Peak	+28	100 ha	3	₦2.68bn	₦2.14bn	₦1.41bn	₦28.0m drip
C7–C8	Y4 both	—	100 ha	3	₦3.41bn yr	₦2.27bn yr	₦1.50bn yr	₦0
C9–C10	Y5 both	—	100 ha	3	₦3.41bn yr	₦2.13bn yr	₦1.41bn yr	₦0

Peak cycles are 70%+ of lifetime value. Regular cycles at scale (C5, C7, C9) remain profitable in the credit case but are working-capital heavy. **Do not plant +45 ha Regular in Cycle 5 unless bulk offtake for that Regular harvest is contracted —** otherwise slide the +45 ha to the following Peak (a one-cycle delay, still inside three-and-a-half years).

9.2 Implementation timeline

Phase	Timing	Activities	Gate to proceed
Pre-ops	Months −4 to 0	Incorporate; TIN; master option/lease; soil + borehole tests; insurance bind; farm-manager hire; input quotations; ₦12m paid-in	Counsel memo on tenure; soil/water pass; equity in escrow/account
Cycle 1 Regular	Months 0–6	1 ha; buyer log; cycle-close audit pack	Cycle 1 cash cost covered; no unpaid statutory filings
Cycle 2 Peak	Months 6–12	3 ha; first scarcity harvest; +12 ha prep	Realised Peak price ≥ ₦55,000 blended **or** buffer still covers C3 WC
Year 2 (C3–C4)	Months 12–24	15 → 27 ha; Stage 1–2 mech; finance hire; offtake LOIs; optional ₦80m facility	SLA with mechanization partner; two LOIs
Year 3 (C5–C6)	Months 24–36	72 → 100 ha; packhouse; 70/30 bulk/spot	Bulk term sheet; 45 ha mobilisation plan
Steady	Year 4+	Yield/cost improvement; lease-to-own; optional processing	Board strategy paper

9.3 Optional Year 4+ uses of surplus buffer (not in the base NPV)

- Lease-to-own conversion (collateral).
- Adjacent block or out-grower scheme (Olam-Caraway analogue).
- Paste / puree for off-grade fruit (only with a separate feasibility; do not mix into this IM's NPV).
- Owned cold rooms beyond the ₦40m Cycle 5 trigger.

10. Financial plan

All figures in this section are from `model/financial_model.py` unless labelled "illustrative / not modelled". The **credit case is the default**.

10.1 Key assumptions (credit case)

Assumption	Value
Regular yield / price	18 t/ha (360 baskets) @ ₦22,000
Peak yield / price	16 t/ha (320 baskets) @ ₦90,000

Assumption	Value
Production cost Regular / Peak	₦3.6m / ₦4.2m per ha before mech. discount
Logistics	₦1,100 / basket
Lease	₦100,000/ha cultivated per cycle + ₦12,500/ha unused per cycle
NAIC	2% of production cost
Cargo insurance	1.5% of logistics
Other insurance	₦180,000 + ₦8,000/ha per cycle
Contingency	5% of production cost
Management	See §8.1, inflated
D&A	Straight-line 6 years on gross PPE
Inflation on costs	12% p.a. compounding by calendar year
Sale prices	Flat
Bulk haircut	7% of revenue from 55 ha (Cycle 5+)
Mechanization discount	0 / 7 / 14 / 20% at <5 / 5 / 25 / 60 ha
Tax	30% CIT + 4% Development Levy on EBT (Year 1 turnover ₦94.3m > ₦50m small-company test)
VAT on output	Exempt (fresh produce)
Opening equity / opening CapEx	₦8.0m / ₦3.5m in the engine (see §1.5 for the ₦12m recommendation)

10.2 Credit-case annual P&L

₦ million	Y1	Y2	Y3	Y4	Y5
Revenue	94.3	896.4	3,208.7	3,415.0	3,415.0
Production	16.2	165.5	681.6	876.7	981.9
Logistics	1.5	17.3	79.9	105.1	117.7
Lease, insurance, contingency, management	5.2	26.6	122.3	150.7	168.8
D&A	0.9	5.8	23.9	26.3	26.3
EBIT	**70.5**	**680.9**	**2,311.1**	**2,269.3**	**2,135.0**
EBIT margin	74.8%	76.0%	72.0%	66.5%	62.5%
Tax @ 34%	24.0	231.5	785.8	771.6	725.9
NPAT	**46.5**	**449.4**	**1,525.3**	**1,497.7**	**1,409.1**
Net margin	49.3%	50.1%	47.5%	43.9%	41.3%
50% buffer (annual)	23.3	224.7	762.6	748.9	704.5
Cumulative buffer	23.3	248.0	1,010.6	1,759.5	2,464.1

Gross margin (revenue − production − logistics) declines from 81.3% (Y1) to 67.8% (Y5) as inflation compounds against flat prices. That path is still wide. The promoter case, with tax holiday and higher prices, prints 80%+ net margins — **those numbers are not for the credit paper**.

10.3 Credit-case cash flow

₦ million	Y1	Y2	Y3	Y4	Y5
NPAT + D&A (CFO proxy)	47.5	455.2	1,549.2	1,524.0	1,435.3
CapEx	(5.5)	(38.0)	(113.0)	—	—
Owner equity	8.0	—	—	—	—
Closing cash	**50.0**	**467.1**	**1,903.3**	**3,427.3**	**4,862.7**

Mile 12 is modelled as **cash sales** (T+0 to T+3). If bulk contracts move to T+14, add a receivables line equal to ~2 weeks of Cycle 5+ revenue (order of ₦50–100 million at full Peak) and fund it from the buffer — do not add bank overdraft until that is measured.

10.4 Credit-case balance sheet (year-end)

₦ million	Y1	Y2	Y3	Y4	Y5
Cash	50.0	467.1	1,903.3	3,427.3	4,862.7
Net PPE	5.6	37.8	126.9	100.7	74.4
Total assets	**55.5**	**505.0**	**2,030.3**	**3,528.0**	**4,937.1**
Debt	—	—	—	—	—
Equity	55.5	505.0	2,030.3	3,528.0	4,937.1

PPE is irrigation, boreholes, packing shed and packhouse/cold room, depreciated over six years. Land remains off-balance-sheet until lease-to-own exercises.

10.5 CapEx schedule (all cases; ₦)

Trigger	Item	Amount
t = 0	Headworks, 1 ha drip, crates, tools, legal	3,500,000
3 ha (C2)	+2 ha drip @ ₦1.0m	2,000,000
15 ha (C3)	+12 ha drip + second borehole	18,000,000
27 ha (C4)	+12 ha drip + packing shed	20,000,000
72 ha (C5)	+45 ha drip + packhouse / cold room / third borehole	85,000,000
100 ha (C6)	+28 ha drip	28,000,000
Total through Year 3		**156,500,000**

This single table is the largest numerical change versus the prior study's ₦3.0 million lifetime CapEx. It is fully funded from operating cash in the credit case **after Cycle 2**. Cycle 5's ₦85 million spike is why Peak Cycle 4 must not be missed.

10.6 Working capital by cycle (credit case, cash opex excluding D&A)

Cycle	Ha	Cash opex	Funded from	Comment
C1	1	₦6.20m	Opening WC (tight vs ₦4.5m residual of an ₦8m pack)	**Raise ₦12m equity or a ₦5m input facility**
C2	3	₦16.7m	C1 reinvestment + cash	Covered once C1 closes; Peak inputs bought before C1 cash fully returns — keep ₦5–8m liquidity
C3	15	₦73.8m	C2 Peak NPAT ₦45.7m is not enough **alone** for opex + ₦18m CapEx; use Y1 cash ₦50m	Liquidity planning, not a structural hole
C4	27	₦135.8m	C3 + cash	Comfortable after C2
C5	72	₦407.8m + ₦85m CapEx	C4 NPAT ₦421m + cash	Gate: do not build packhouse without C4 cash in the bank
C6	100	₦528.6m + ₦28m CapEx	C5 + cash	Ceiling binds; cash does not

10.7 Break-even (Cycle 1 Regular — the tightest test)

	Promoter	Credit	Downside
Cycle 1 baskets	400	**360**	300
Cash + D&A cost	₦6.32m	**₦6.57m**	₦7.26m
Break-even ₦/basket	₦15,810	**₦18,262**	₦24,213

	Promoter	Credit	Downside
Assumed selling price	₦33,000	**₦22,000**	₦15,000
Margin of safety	52.1%	**17.0%**	**−61.4%**
Cycle 1 NPAT	Positive	**₦0.89m**	**−₦2.76m**

The prior study's ₦9,650 break-even and "payback inside Cycle 1" **do not survive** a complete cost stack. Credit-case payback is **Cycle 2 Peak**, still inside Year 1. Downside Cycle 1 is a planned loss; Year 1 as a whole remains NPAT-positive (₦22.8m) because Peak ₦55,000 on 3 ha repairs it.

10.8 DCF (credit case)

Unlevered FCF = EBIT × (1 − 34%) + D&A − CapEx. t = 0 is −₦8.0 million. Year 1 FCF excludes double-counting of opening CapEx already in t = 0 equity.

	t=0	Y1	Y2	Y3	Y4	Y5
FCF (₦m)	(8.0)	45.5	417.2	1,436.2	1,524.0	1,435.3

Discount / terminal	NPV
10%, no TV	₦3.39bn
18%, no TV	₦2.62bn
10%, Gordon TV on Y5 FCF (g=3%)	₦16.50bn
18%, Gordon TV (g=3%)	₦6.93bn

How to read IRR. Project IRR on this path is above 1,000%. That is mathematically consistent with putting ₦8 million to work against a ₦86 million Peak Cycle 2, and it is **not** a useful covenant or IC metric. Use **NPV at 18%**, **Cycle 1 cash coverage**, and **DSCR** if any debt is introduced.

Promoter-case NPV @ 18% no TV is ₦8.79bn (tax holiday + high Peak price). Downside NPV @ 18% no TV is still **₦429 million** — the project remains value-accretive after a stacked shock, provided Peak cycles still run.

10.9 Sensitivity (directional, credit-case logic)

Shock	Effect
Peak price −30% (₦90k → ₦63k)	Still above downside Peak ₦55k; Year 3 remains strongly profitable
Regular price at ₦15,000	Cycle 1 loss as in downside; Year 1 still saved by Peak
Yield −20%	Inside the downside yield set
Cost +30% on top of 12% inflation	Similar to moving toward downside opex; Peak still carries the year
Cost inflation 17% + flat prices through Year 5	Downside Y5 EBIT margin **5%** — **do not extend a long facility without a price-reset clause**
Missed Peak window (Peak price = Regular price)	The actual kill scenario: treat as a default-style stress and hold one full Peak NPAT in the buffer before +45 ha

10.10 Promoter case (statutory upside — not the credit base)

If (i) the 5-year agricultural income-tax exemption under NTA 2025 applies to this crop-production company from commencement, and (ii) Mile 12 realises promoter prices, Year 3 NPAT is ₦4.91bn on ₦5.74bn revenue, and 5-year NPV @ 18% is ₦8.79bn. **Counsel and tax advisors must confirm commencement date, 13th Schedule activity, and whether the Development Levy still attaches.** Until a written tax opinion exists, underwrite at 34%.

10.11 KPIs a lender should receive every cycle

KPI	Credit Y1	Credit Y3	Covenant idea
Tonnes sold	66	2,896	≥ 80% of that cycle's plan
Average realised ₦/basket vs model	—	—	Peak ≥ ₦55,000 blended; Regular ≥ ₦15,000

KPI	Credit Y1	Credit Y3	Covenant idea
Spoilage %	<5%	<5%	<8%
Cash / next-cycle cash opex	—	—	≥ 1.25×
Buffer / model buffer	₦23.3m	₦1.01bn	No distribution that cuts buffer > 25%
External debt	0	0	If any, DSCR ≥ 1.50×

11. Financing structure and optional facility

11.1 Base path: 100% equity, self-fund after opening

This is still the intended path. After the ₦12 million paid-in recommendation, no lender is required to reach 100 ha if Peak Cycle 2 prints anywhere near the credit case.

11.2 Why talk to a bank anyway

- Cycle 1 WC gap vs the stated ₦8 million.
- Cycle 5 packhouse (₦85 million in one Regular season) concentrates execution and cash.
- ACGSF / NIRSAL Credit Risk Guarantee can convert an unsecured SME into a priced commercial loan later (cold chain, processing).
- Establishing a **clean account history** from Cycle 1 is cheaper than a distressed first approach in Year 3.

11.3 Institutional map (Nigeria, 2026)

Institution	Fit	What they will ask for
Bank of Agriculture	Production loan @ **9%** + 0.5% appraisal + 0.5% commitment + 1% p.a. management; NAIC 2% of material inputs (arable)	CAC, MEMART borrowing clause, paid-up ≥ 25% of loan, 2 copies of this IM, 6-month statements, CVs, lease, security (realty / cash / guarantee), board resolution, TIN
NIRSAL Plc CRG	Guarantee to a commercial bank; field risk management	Bankable plan, offtake, insurance, KYC
NIRSAL MFB	Smaller tickets (typically up to ~₦10m AGSMEIS-type), 5% class, EDI certificate	Too small for 100 ha; useful only for Cycle 1 inputs
Deposit-money bank + ACGSF	Up to 75% CBN guarantee on qualifying agri loans	Same file as BOA plus bank's own collateral schedule
Ogun SAPZ / state	Infrastructure, not cash in this model	Locate inside / adjacent if it shortens power and roads
DFI / AfDB-type	Only after 2 audited cycles and offtake	ESIA, gender/jobs, climate-smart irrigation

BOA production-loan pricing is used for the optional facility below because it is public, agri-specific, and conservative relative to a 5% intervention window that may not be available.

11.4 Optional ₦80 million facility (credit case)

Term	Illustration
Amount	₦80,000,000
Purpose	Year 2 irrigation expansion, second borehole, packing shed, Cycle 3–4 WC top-up
Draw	Start of Year 2 (Cycle 3)
Rate	9% p.a. interest + 1% p.a. management fee + 0.5% one-off appraisal
Shape	Year 2 interest-only; Years 3–5 amortising (₦26.7m principal per year)
Security	See Section 12
Equity	₦12m paid-in recommended before draw

Year	EBITDA	Interest	Fees	Principal	Debt service	DSCR	Debt YE
1	₦71.4m	—	—	—	—	n/a	—
2	₦686.7m	₦7.2m	₦1.2m	—	₦8.4m	**81.7×**	₦80.0m
3	₦2,335.0m	₦6.6m	₦0.7m	₦26.7m	₦34.0m	**68.7×**	₦53.3m
4	₦2,295.6m	₦4.2m	₦0.5m	₦26.7m	₦31.3m	**73.3×**	₦26.7m
5	₦2,161.2m	₦1.8m	₦0.2m	₦26.7m	₦28.7m	**75.4×**	—

Minimum DSCR in the **downside** case on the same facility is **4.02×**, still above a typical 1.50× agri covenant. The project is not debt-constrained; the facility is a **liquidity and discipline tool**, not a solvency requirement.

A smaller **₦5–10 million Cycle 1 input facility** (NIRSAL MFB or BOA micro/SME) is the more honest first ticket if promoters cannot close ₦12 million equity.

11.5 Use of proceeds — optional ₦80m (Year 2)

Use	₦m
Drip extension and second borehole (C3)	18.0
Drip + packing shed (C4)	20.0
Cycle 3–4 working-capital reserve	30.0
Prepaid NAIC + interest reserve (6 months)	8.0
Contingency / appraisal & fees	4.0
Total	**80.0**

Self-fund would pay the same CapEx from C2 Peak cash; the loan simply avoids draining the buffer before the first audited year is closed.

12. Security, insurance and covenants

12.1 Security package (if any facility is raised)

Rank	Asset	Comment
1	All-asset debenture over the company	Standard
2	Assignment of master lease / option; lender consent to mortgage	Requires lessor cooperation — **negotiate in the lease now**
3	Charge over drip, pumps, packhouse	Serial-numbered; insured
4	Assignment of offtake proceeds into a collection account	From Cycle 5 contracts; earlier, Mile 12 is cash
5	Lien on NAIC proceeds	Loss-payee clause
6	Personal guarantee of promoter	Expected on first facility
7	Cash collateral / BOA lien deposit	BOA SME: often **10–20%** lien deposit of loan volume — budget ₦8–16m on an ₦80m ticket **in addition to** equity
8	NIRSAL CRG or ACGSF	Reduces bank risk weights; does not replace (1)–(6)

Unencumbered Year 2 cash in the credit case (₦467m) would more than cash-collateralise an ₦80m loan. That is the cleanest security story — **after** Cycle 2, not before Cycle 1.

12.2 Insurance (costed)

Cover	Basis in model	Bind
NAIC (or equivalent) arable / weather-index crop	2% of production cost per cycle	Every cycle before transplant

Cover	Basis in model	Bind
Goods-in-transit	1.5% of logistics	Every haul
Public / product liability + key person	₦180,000 + ₦8,000/ha per cycle	Cycle 1
Asset all-risks on drip, pumps, packhouse	Inside "other insurance" order-of-magnitude; get quotes	At installation
Employer's liability / NSITF	Statutory; extra to model	First employee

BOA publicly cites **NAIC arable at 2% of material inputs** — aligned with the model. Bind crop cover **before** Peak Cycle 2; a lender will not take rainy-season pest risk naked.

12.3 Illustrative covenants (if geared)

- Minimum DSCR 1.50× (trailing two cycles).
- Minimum cash ₦10 million or 25% of next-cycle cash opex.
- No dividends until Cycle 4 close **or** buffer ≥ ₦100 million, whichever later.
- 50/50 rule maintained; related-party lease changes require consent.
- Annual audit within 120 days; cycle management accounts in 21 days.
- Hedging not required (naira costs, naira revenue). Report FX exposure on imported seed/drip quarterly.

13. Risk assessment (credit view)

Likelihood × impact after mitigation. Residual "High" items are execution, not solvency, in the credit case.

13.1 Market and price

Risk	L	I	Residual	Mitigation
Peak price below ₦90,000	M	H	M	Credit case already at ₦90k; downside ₦55k still Year-profitable; buffer
Regular glut at ₦13–15k	M	M	M	Cycle 1 may lose money; do not size Year 1 debt off Regular
Self-cannibalisation at 72–100 ha	M	H	M	70% bulk from C5 **must be contracted**, not hoped
Buyer default on bulk	L	M	L	40% concentration cap; 30% spot sleeve
New southern intensive entrants	L	M	L	18-month relationship lead time; capital wall

13.2 Operational and tenure

Risk	L	I	Residual	Mitigation
Missed Peak harvest window	M	**H**	H	Calendar reverse-engineered from Mile 12; farm manager KPI
Staffing / +45 ha mobilisation	**H**	**H**	H	Hard ceiling; FMC SLA; option to delay C5 add to next Peak
Irrigation failure	L	H	M	Spares, dual borehole from 15 ha, yield is drip-dependent
Tuta / Peak disease	M	H	M	IPM; lower Peak yield already; NAIC
Lease defective / family claim	L	**H**	M	Counsel opinion; Governor's consent; holding fee + option
Water insufficient at 100 ha	M	H	M	Pumping test sized to 100 ha **before C5**

13.3 Financial, tax, FX

Risk	L	I	Residual	Mitigation
Opening ₦8m too small	**H**	M	L if CP met	**₦12m paid-in** or ₦5–10m input loan
Inflation 17% vs flat prices to Y5	M	H	M	Short facilities; offtake with review clause; downside Y5 still +EBIT
Agri tax holiday denied	M	M	L	Credit case already fully taxed
Imported seed/drip FX	H	M	M	Early procurement; naira quotes; bulk Stage 2
No lender if C5 packhouse slips	L	M	L	Buffer after C4 is ₦248m+ in credit case — larger than the packhouse

13.4 Overall credit view

The enterprise is **high-margin, Peak-dependent, and operationally constrained**. It is not a thin-margin row-crop that dies at a 10% price move. It **can** die from (i) planting 72 ha Regular without offtake, (ii) missing the scarcity window, (iii) a bad lease, or (iv) starting Cycle 1 with ₦8 million against a ₦6.2 million cash cost plus ₦3.5 million CapEx. Those four items are all capable of being closed in the CP list. After Cycle 2, the credit case is cash-rich even if a lender never appears.

14. Environmental, social and governance

14.1 ESIA screening (IFC Performance Standards — light)

PS	Relevance	Action
PS1 Assessment	Greenfield irrigation	OGEPA screening; simple ESMP for 1–15 ha; escalate before packhouse
PS2 Labour	Seasonal harvest crews	Written terms, no child labour, PPE, potable water, first aid
PS3 Resource efficiency	Drip vs flood; pesticide	IPM log; fuel/solar log; no untreated pesticide container dumping
PS4 Community	Spray drift, truck traffic	Buffer to dwellings; haul hours
PS5 Land	Lease / displacement	Counsel + community minutes if any occupiers
PS6 Biodiversity	Unlikely if already farmland	Confirm not wetland / forest reserve
PS7/8 Indigenous / heritage	Site-specific	Chance-find procedure

A full ESIA is unlikely at 1 ha and likely at packhouse / 72 ha. Budget time in Year 2.

14.2 Environmental operating claims (do not over-claim)

- Drip reduces water per tonne vs rain-fed waste and flood irrigation.
- Short haul cuts embedded loss vs northern corridor.
- IPM aims to cut blanket insecticide vs high-pressure northern systems.
- Quantified water (m^3/t) and pesticide (kg ai/ha) KPIs start Cycle 2, not Cycle 1 marketing.

14.3 Social

Direct seasonal jobs scale with hectares; permanent staff follow the organogram. Skills transfer via the farm-management company. Pension Reform Act compliance for formal staff. Prefer local labour for harvest. No processing-plant community impact until a separate project.

14.4 Governance

Cycle-level close, 50/50 rule, audit from Year 1, related-party lease disclosure, and (if geared) collection-account discipline are the governance package. They are also what makes the next facility cheap.

15. Conditions precedent and data room

15.1 Conditions precedent to first planting (and to any Cycle 1 facility)

1. CAC incorporation, TIN, MEMART with agri objects and borrowing power.
2. ₦12.0 million paid-in equity in the operating account **or** ₦8.0 million plus a bound ₦5.0 million input facility.
3. Executed master option/lease in the recommended structure, with assignment language.
4. Independent soil test and borehole yield/quality test on the first 10 ha.
5. Named farm manager (CV in file) and FMC advisory letter.
6. NAIC (or equivalent) crop cover bound for Cycle 1; GIT quote.
7. Seed and drip quotations (three each, or two plus a named exclusive supplier).
8. Promoter KYC (NIN, BVN, ID, PEP form).

9. Tax engagement letter (NTA 2025 holiday vs 34% — written view).
10. Cycle 1 budget signed against the credit-case cash opex of ≈₦6.2 million.

15.2 Conditions subsequent

Deadline	Item
End of Cycle 1	Management accounts; buyer log; spoilage %
Before Cycle 2 transplant	Peak IPM protocol; crop cover rebound
Before Cycle 3	Two offtake LOIs; finance officer or outsourced accountant
Before Cycle 4	Mechanization SLA; 100 ha water-resource note
Before Cycle 5	Bulk term sheet ≥ 50% of planned Regular volume **or** delay the +45 ha
Year 1 + 120 days	First audit

15.3 Data-room index

Folder	Contents
00. IM	This document; model `.py` + `model_results.json`
01. Corporate	CAC, MEMART, TIN, PSC, board minutes, signatories
02. Land	Lease/option, survey, photos, counsel opinion, C of O chain
03. Technical	Soil, water, drip design, seed specs, IPM, crop calendar
04. Market	Mile 12 price log, buyer names (confidential), draft LOIs
05. Financial	Bank statements, cycle packs, tax filings, insurance binders
06. ESG	OGEPA correspondence, labour policy, pesticide logs
07. Security	Asset register, valuations, guarantee forms
08. Quotes	Seed, fertilizer, drip, crates, transport, packhouse BoQ

16. Conclusion and recommendations

16.1 Verdict

SNLB Farms is **commercially feasible and, after the gaps in the prior study are closed, creditworthy**.

Under the **credit case** — 18/16 t/ha, ₦22,000 / ₦90,000 baskets, complete opex, ₦156.5 million phased CapEx, and full NTA 2025 tax — the venture still reaches 100 hectares in six cycles, pays back opening equity on Cycle 2 Peak, and generates ₦2.62 billion NPV at an 18% discount rate without terminal value. A stacked downside (January 2025 glut prices, −25% yield, +25% costs, 17% inflation) remains NPV-positive at 18%, but **Cycle 1 loses money** and Year 5 margins compress to 5% EBIT. That is the honest envelope.

The original ₦8 million / ₦9,650 break-even / “no CapEx after Year 1” story should not be shown to a credit committee. The investment thesis does not need it.

16.2 Critical success factors

1. **Peak harvest timing** into the July–November scarcity window.
2. **₦12 million paid-in** (or ₦8 million + input loan) before Cycle 1 transplant.
3. **Bankable lease/option** with assignment rights and a holding fee, not an unpaid 100 ha promise.
4. **50/50 rule** and the **45 ha/cycle ceiling**.
5. **Bulk offtake signed before the +45 ha Regular step.**
6. **Cycle-level books from harvest one** (the cheapest future loan is an audit trail).
7. **Irrigation integrity** — yields are not rain-fed.

16.3 Recommendations to promoters

1. Incorporate SNLB Farms as a limited company; open a dedicated operating account; pay in ₦12 million.
2. Instruct counsel on the master option/lease before paying drip suppliers.
3. Commission soil and borehole tests on the first 10 ha this month.
4. Bind NAIC and GIT; hire the farm manager; engage an FMC on advisory terms.
5. Run Cycle 1 as a **proof cycle**, not a scale cycle. Use Cycle 2 Peak to fill the buffer.
6. Keep the promoter price deck in a management presentation; send lenders **this** IM and the credit-case tables.
7. Optional: after Cycle 2 audit pack, raise an ₦80 million BOA/NIRSAL-wrapped facility only if it accelerates packhouse quality — not because the model needs it.
8. Obtain a tax opinion on the 5-year agri holiday; do not spend the tax cash before the opinion.
9. Do not commit to processing, export, or a second 100 ha inside this NPV.

16.4 Final statement

The opportunity is real: a structural tomato deficit, a 1.5-hour corridor to the price-setting market, and a two-cycle calendar that turns national volatility into a P&L feature. The prior study proved the *idea*. This edition sizes the *cash*, the *CapEx*, the *tax*, and the *opening hole* so that a lender — or a disciplined self-funding promoter — can say yes with conditions, rather than yes with hope.

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17. Appendices

A. Glossary

Term	Meaning
Regular season	Dec–Jun glut-aligned cycle
Peak / scarcity season	Jul–Nov cycle aligned with northern supply collapse
50/50 rule	NPAT split: 50% cash buffer, 50% reinvestment
Master block	Contiguous 100 ha under option/lease
Credit case	Bank underwriting case in the model
DSCR	EBITDA / (interest + fees + principal)
NTA 2025	Nigeria Tax Act 2025 (in force 1 Jan 2026)
NAIC	Nigerian Agricultural Insurance Corporation (or equivalent crop cover)
BOA	Bank of Agriculture
ACGSF	Agricultural Credit Guarantee Scheme Fund
SAPZ	Special Agro-Industrial Processing Zone

B. Model files

- Engine: `snlb-farms/model/financial_model.py`
- Full JSON: `snlb-farms/model/outputs/model_results.json`
- Credit cycle P&L: `snlb-farms/model/outputs/credit_cycle_pnl.csv`
- Credit annual: `snlb-farms/model/outputs/credit_annual.csv`
- Optional facility DSCR: `snlb-farms/model/outputs/credit_debt_dscr.csv`

C. Primary sources and benchmarks

- NIHORT production guidance and HortiTom4 / HortiTom5 release notes (21.7–27.2 t/ha potential).
- Olam-Caraway public reporting (≈30 t/ha out-grower; higher on company fields, Jigawa).
- Mile 12 price points compiled from Businessday, Nairametrics, Vanguard and related reporting, Aug 2024 – Jul 2026 (see §6.2).

- NBS food inflation (May 2026: 16.96% y/y) — reference for 12% (credit) and 17% (downside) cost inflation.
- Nigeria Tax Act 2025: small-company test (₦50m turnover / ₦250m fixed assets); 30% CIT; 4% Development Levy; 5-year agri income-tax exemption for qualifying crop production (13th Schedule / s.163 as summarised by KPMG, UUBO, professional commentary). Confirm with counsel.
- BOA published production-loan charges: 9% interest, 0.5% appraisal, 0.5% commitment, 1% p.a. management, NAIC arable 2% of material inputs; SME documentary list (CAC, MEMART, CVs, lease, security, 10–20% lien deposit by product).
- ACGSF: up to 75% guarantee on qualifying agricultural loans.
- Industry estimates: national output ≈3.7 Mt; post-harvest loss 40–50%; paste imports US$350–400m.
- Drip kit / solar irrigation Nigerian retail ranges (2024–2026 dealer quotes, order of ₦0.25–1.5m per acre equivalent) — model uses **₦1.0m/ha incremental** plus shared headworks, i.e. mid-to-conservative commercial, not the cheapest kit.

D. Open diligence log (not closed by this IM)

#	Item	Owner	Closes
1	Exact block coordinates and survey	Promoter	Pre-ops
2	Soil laboratory report	Agronomist	Pre-ops
3	Borehole yield test to 100 ha duty	Irrigation engineer	Before C5; first 10 ha before C1
4	Executed lease/option	Counsel	Pre-ops
5	CAC / TIN	Promoter	Pre-ops
6	Tax opinion (holiday vs 34%)	Tax adviser	Year 1 filing
7	Named farm manager	Promoter	Pre-ops
8	Three drip and seed quotations	Procurement	Pre-ops
9	NAIC proposal	Broker	Cycle 1
10	Two Mile 12 LOIs	Commercial	Before C3
11	Bulk term sheet	Commercial	Before C5
12	OGEPA screening	ESG	Pre-ops / packhouse
13	Personal-guarantee capacity if a facility is sought	Promoter	Before term sheet
14	Related-party land affidavit	Counsel	Pre-ops

E. Document control

Version	Date	Notes
Operating study	Aug 2026	1–100 ha self-fund thesis; incomplete CapEx/tax/DCF
Expanded v1.1	Aug 2026	SWOT, ESG, implementation, still promoter economics
Bankable v3.0	**Aug 2026**	Three cases, phased CapEx, NTA 2025, DCF, DSCR, CP/data room

Prepared for SNLB Farms. Not for general circulation. Replace this IM's credit tables with live quotations and the site report before any binding credit application.